

Q1 RESULTS

SILVER LINING

The IT sector's Q1FY25 results show signs of improvement and the long-term outlook remains positive

BY RAHUL OBEROI

22 |

► **THE JUNE 2024** (Q1FY25) quarter results of information technology (IT) majors, which have been going through a rough patch in recent times, indicate no major change in the demand environment amid the ongoing macro uncertainties. However, there are some signs of improvement, such as strong order books, successful client acquisitions, and positive commentary from the IT majors.

"The earnings of the IT sector so far have been mixed on revenue growth, but on the positive side, most companies indicated green shoots in their expenditures on discretionary projects as well as some large verticals like BFSI," says Meeta Shetty, Fund Manager at Tata Asset Management.

In Q1FY25, IT behemoth Tata Consultancy Services (TCS) registered an 8.72% year-on-year (YoY) increase in its consolidated net profit of ₹12,040 crore, while reporting a decline of 3.17% on a quarter-on-quarter (QoQ) basis.



PICKING UP

● IT stocks have recently begun to outperform the benchmark BSE Sensex after prolonged underperformance ● The BSE IT index has gained 15% in the ongoing financial year till July 24

